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Week ending: 10th December 2021

Weekly Fixed Income Note

Key Highlights:

- T-bills remained undersubscribed, during the week, recording an overall subscription rate of **75.62%** down from **85.58%** recorded the previous week. The undersubscription is partly attributed to the concurrent primary bond issuance. The 91-day paper received the highest subscription with the performance rate coming at **126.85%** while the 364-day paper recorded the lowest at **51.66%**. CBK accepted **65.65%** of the **KES 15.76Bn** worth of bids received. The current fiscal year borrowing is at **36.06%** ahead of prorated target. Yields on all the papers continued the upward trend edging up by **4.8bps**,**13bps** and **7.5bps** to close at **7.28%**,**7.98%** and **9.09%** for the 91-day,182-day and 364-day papers, respectively.

- In the primary bond market, the dual reopened issuance was oversubscribed, in line with our expectation. However, the longer dated **FXD1/2018/20** received the highest bids at **KES 20.91Bn**, contrary to our expectation. **FXD4/2019/10** attracted a yield of **12.64%** and a coupon rate of **12.28%**. **FXD1/2018/20** was issued at a premium with its yield coming in at **13.37%** and coupon rate at **13.20%**. Bids worth **KES 41.18Bn** were received against a target of **KES 40.00B** with the government accepting bids worth **KES 37.83Bn**.

- In the secondary market, the value of bonds traded increased by **56.33%** to **KES 14.78 Bn** from **KES 9.45 Bn** recorded last week. On a year-to-date basis the yield curve has readjusted upwards in the mid range but held steady in the short and long end of the curve. FTSE Bond index closed the week at **96.54** taking the YTD loss to **0.98%.**

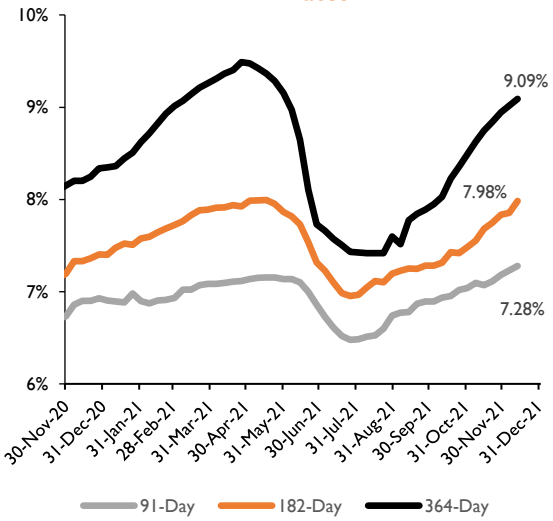
We expect activity in the secondary bond market to be driven by attractive entry points on some specific papers and eased liquidity. The discovery of a new and strenuous variant is likely to bring renewed fears among investors thus pushing them towards safer havens such as fixed income assets.

Macroeconomic data	Current	Previous
GDP (2Q2021 vs. 1Q2021)	10.10%	(0.70%)
Inflation (November)	5.80%	6.45%
Private sector credit growth (August)	7.00%	6.10%
Money Supply (August)	9.80%	6.90%

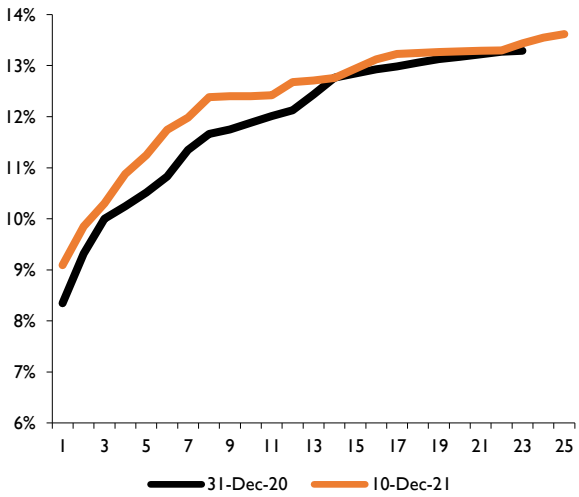
Key Indicators

	Current	Previous	% Change
91- Day	7.28%	7.23%	0.05%
182-Day	7.98%	7.85%	0.13%
364-Day	9.09%	9.02%	0.07%
Interbank Rate	4.82%	5.23%	0.41%

T-Bill Rates



NSE Yield Curve



MACROECONOMIC NEWS

Currency

The Kenya shilling further lost ground against the USD this past week depreciating **0.23%** to trade at **112.89** from **112.63** at the close of last week. The shilling has depreciated by **3.40%** against the USD on a year-to-date basis. The CBK's usable forex reserves currently stand at **USD 8,730** million (**5.34** months of import cover), a **0.08%** week-on-week decline from **USD 8,737** million (**5.34** months of import cover) recorded last week.

We expect the local currency to remain under pressure due to; the continued gains by the US Dollar against other global currencies, elevated global oil prices supported by reduced supply from OPEC members and reduced dollar inflow from key export earning sectors such as agriculture and tourism.

Liquidity

Liquidity in the money market eased as reflected by the average interbank rate which decreased to **4.82%** from **5.23%** recorded at the end of the previous week partly attributed to government payments.

We expect the interbank rate to remain near the region of 5.00%, for the coming week, mainly driven by open market operations by the CBK and monthly banks CRR cycle.

Macroeconomic Releases

The national treasury gazetted the statement of Actual Revenues and Net Exchequer for the first five months of FY2021/22 indicating a total revenue collection of **KES 688.10Bn**. The collection indicates an underperformance of 96.75% against the prorated collection target of **KES 711.25Bn**. During the week data from CBK indicated that the diaspora remittance for the month of November increased 24.21% y/y to **KES 320.10Bn**. However on a month-on-month basis the remittance reduced 5.13% from the **KES 337.4Bn** collected in October. North America continues to be the leading source of foreign currency with 67.30% of total remittance. **We expect KRA to struggle to meet the revenue collection target having to raise an estimated KES 142.25Bn every month for the rest of the fiscal year. Continued benefits from economic recovery through reopening of the economy and ongoing vaccine inoculation will likely be weighed down by the negative effects that surround electioneering periods. On the other hand, we expect that diaspora remittance will continue supporting the Kenyan shilling.**

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